

LEGISLATURE OF NEBRASKA
ONE HUNDRED NINTH LEGISLATURE
SECOND SESSION

LEGISLATIVE BILL 1189

Introduced by Conrad, 46.

Read first time January 21, 2026

Committee:

- 1 A BILL FOR AN ACT relating to revenue and taxation; to create a pilot
- 2 program administered by the Department of Revenue to raise awareness
- 3 of the earned income tax credit; to provide an operative date; and
- 4 to declare an emergency.
- 5 Be it enacted by the people of the State of Nebraska,

1 **Section 1.** (1)(a) The You Earned It Pilot Program is created to
2 raise awareness of the earned income tax credit among low-income
3 Nebraskans. The purpose of the program is to increase access to and
4 utilization of the earned income tax credit by eligible individuals
5 through grants to qualifying nonprofit organizations. The program shall
6 be administered by the Department of Revenue.

7 (b) It is the intent of the Legislature to appropriate two hundred
8 fifty thousand dollars from the General Fund for fiscal year 2026-27 to
9 the department for carrying out the pilot program.

10 (2)(a) The Department of Revenue shall establish application
11 procedures, eligibility criteria, and reporting requirements for grant
12 recipients. Grant funds may be used for outreach, education, assistance,
13 and related activities that help eligible individuals understand, claim,
14 and receive the earned income tax credit. The department shall ensure
15 that grants are distributed in a manner that promotes geographic and
16 demographic equity across the state.

17 (b) Grants awarded under the You Earned It Pilot Program may be made
18 to nonprofit organizations that serve low-income Nebraskans, including,
19 but not limited to:

20 (i) Nonprofit tax preparation services;
21 (ii) Legal services organizations;
22 (iii) Health and human services organizations; and
23 (iv) Other nonprofit agencies that regularly work with low-income
24 Nebraskans and demonstrate the capacity to promote awareness of and
25 access to the earned income tax credit.

26 (c) Grants shall be awarded to eligible nonprofit organizations no
27 later than October 1, 2026.

28 (3) The Department of Revenue shall evaluate the success of the
29 program and electronically submit a report of such evaluation to the
30 Clerk of the Legislature on or before December 15, 2027, containing the
31 following information:

- 1 (a) The number and type of grants awarded;
- 2 (b) The geographic distribution of grant recipients;
- 3 (c) Outreach activities conducted;
- 4 (d) The estimated number of individuals assisted; and
- 5 (e) Findings and recommendations regarding the effectiveness of the
- 6 program and the advisability of continuation or expansion.

7 **Sec. 2.** This act becomes operative on July 1, 2026.

8 **Sec. 3.** Since an emergency exists, this act takes effect when

9 passed and approved according to law.